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v. Income received in advance

Income received in advance refers to income or portion of income received in an accounting year which is not earned in the accounting period. It is also known as unearned income or unexpired income. Though the amount is received in the current accounting year, the benefit is yet to be offered to the concerned person in the next accounting year.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Concerned income A/c	Dr.		xxx	
To Income received in advance A/c				xxx
(Income received in advance adjusted)				

Presentation in final accounts

In Profit and loss A/c	Amount received in advance is deducted from particular income.
In Balance Sheet	Amount of income received in advance being current liability is shown on the liabilities side of the balance sheet.

Tutorial note

1. If income received in advance account appears in the trial balance with credit balance, it means that journal entry has been made already for income received in advance. Hence, the income received in advance account will be shown only in the liabilities side of balance sheet. No adjustment is necessary in income account as already it would have been adjusted.
2. At the beginning of the next accounting period, the above entry is reversed to bring into account income received in advance at the beginning, so that it is added to the amount of income in the next year.

Example

The trial balance as on 31st March, 2017 shows commission received as ` 7,500.

Adjustment: One-third of the commission received is in respect of work to be done in the next accounting year.

Commission received includes one-third of the commission for the next accounting period. ` 7,500 × 1/3, that is ` 2,500 is received in advance. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Commission received A/c	Dr.		2,500	
March 31	To Commission received in advance A/c				2,500
	(Commission received in advance adjusted)				